Unit title: Contemporary Business Issues
Unit code: HE9E 46

Unit Outline
The purpose of this Unit is to develop learners' understanding of contemporary business issues through investigation of Small and Medium Enterprises (SMEs) and the business strategies appropriate for SMEs at different stages of the business life cycle. All businesses journey through a life cycle but may deal differently with the stages of the life cycle. This Unit will therefore examine the increasing complexity facing businesses at different stages of the life cycle and how priorities, objectives and functional activity may affect their operation.

Outcomes
Learners who complete this Unit will be able to:

Outcome 1
Explain the features and characteristics of Small and Medium Enterprises.
1.1 Define an SME.
1.2 Explain the key features of an SME.
1.3 Explain the characteristics of a business at each of the five stages of the business life cycle: start up, growth, maturity, renewal and decline.
1.4 Outline the key objectives of a business appropriate to each stage of the business life cycle.

Outcome 2
Analyse business strategies of Small and Medium Enterprises.
2.1 Explore the internal and external challenges that businesses may face.
2.2 Explain the role of the functions and activities within a business, and how these change in relative importance, at different stages of the business life cycle.
2.3 Analyse business strategies appropriate for different stages of the business life cycle.

Evidence Requirements
Evidence is required to demonstrate that learners have achieved all Outcomes and Performance Criteria.

For Outcome 1, learners will:

- define what an SME is and explain the features of an SME. Learners must provide an acceptable definition and explain at least three key features.

- explain the characteristics of a business at each of the five stages of the business life cycle: start up, growth, maturity, renewal and decline. At least two characteristics at each stage will be covered.
- outline the key objectives of a business appropriate to each stage of the business life cycle. At least two objectives should be provided for each stage and appropriately aligned with the stages.

For Outcome 2, learners will:

- explore the challenges businesses face. Learners should explain at least two internal influences, two external influences and explain at least two challenges using a business life cycle model.
- examine the role of the various functions and activities within a business and how these may change in relative importance at different stages of the business life cycle. Learners must discuss the main functional activities of a business. At least four functional activities should be covered and at least one operational and one support function identified.
- analyse business strategies appropriate for different stages of the business life cycle. Learners should cover at least two strategies appropriate to a given organisation. Analysis should include an explanation of each business strategy and its expected effect on the organisation

Guidance on the content

The Unit is intended to provide learners with an awareness of the decisions and challenges facing business. Small and medium size enterprises account for a very large percentage of business activity and an understanding of the decisions and challenges facing them should provide learners with a good awareness of the business world. SMEs vary considerably in terms of sector, management, operation and objectives. However, all follow a life cycle. It is accepted that there are many life cycle models and that not all SMEs will follow each model. However, a life cycle approach allows consideration of different businesses across different sectors and learners should examine a range of scenarios.

Outcome 1 will give learners an understanding of Small and Business Enterprise across different sectors e.g. primary through to quaternary. Discussion of start-ups and micro businesses within the context of SMEs and the life cycle should be included to enable learners to gain an understanding of the different needs of businesses and the range of businesses covered by the term SME.

A valid definition of an SME, eg OECD definition, and features such as ownership, control and finance, should be considered. As learners explore the five stage life cycle model they should consider the limitations of the models and why not all businesses pursue growth, eg life style businesses, lack of ambition, satisfied owners etc. The characteristics at each stage could include, for example:

- Start-Up, eg:
  — Founder
  — Production focus
  — Importance of cash flow
  — Simple structure

- Growth, eg:
  — Founder/Professional managers
  — Marketing focus
  — cash flow/profitability
  — centralised structure

Outcome 2 requires learners to consider the development of appropriate business strategies utilising appropriate business functions while taking into account internal and external influences and the stage in the business life cycle. The challenges faced will include both internal and external influences. External influences could include economic, financial, geographic, social, legal, political, institutional, technological, competitive situation, markets, etc. Internal influences could include products, location, resources, management, business culture etc. Challenges facing businesses can be further explored by looking at business life cycle models such as Adize and Greiner, eg crises of autonomy, leadership etc. which should enable learners to consider the pressures as a business attempts to grow, on the business, staff and owners.
As the business grows the orientation of the business may change and the need to structure for growth as more specialised/professional staff are required becomes an additional pressure. The contribution of different functions, eg. operations, HRM, marketing including digital marketing, accounts/finance, IT, procurement, etc. should be covered and the importance of the supply chain stressed. Strategies could include partnership, merger, takeover, divestment, etc.

Opportunities for developing Core and other essential skills
In this Unit learners will develop skills to:

- investigate, integrate and evaluate contemporary business issues.
- communicate business information and issues using appropriate formats.

This means that as learners are doing this Unit they will be developing aspects of the Core Skills of *Problem Solving* and *Communication*.
In addition, whilst completing this Unit, learners may develop aspects of the following Core Skill where specific learning and teaching approaches are adopted.

- *Working with Others* — where learners are encouraged to work in groups to research local businesses.

Essential Skills

Through the Outcomes and corresponding Evidence Requirements, this Unit can provide learners with opportunities to develop the following essential skills for life, learning and work:

Enterprise — various aspects of the Unit provides opportunities to learn about the enterprise environment through how small and medium enterprises operate.

Employability — through developing an awareness of the decisions and challenges facing businesses, through self-management when conducting any research, such as into local businesses or to complete assessment tasks such as a report.